Chapter - 1

Basics of Financial Accounting

Accounting:-

Accounting is the art of recording, summarizing, reporting, and analyzing financial transactions.
OR
Accounting is the art of recording, classifying, summarizing, in significant manner and in terms of money, Transaction and events which are in part of at least and Interpreting the results there of.

Language:-

Language is a medium that is used to communicate and understand some ideas, feelings, expressions or information.

Financial information

Any information that is measurable in terms of money and causes a change in financial position of an entity is known as financial information.

Sources of Financial Information

There are three sources of financial information, which are also known as accounting phenomena.

- Transactions
  Transactions are the outcome of dealings made.
- Events
  Events are the outcome of incidents happened.
- Conditions
  Conditions are the adjustments in recorded information.

Transaction (source of financial information)

Transaction occurs when two persons deal with each other. For example; a person receiving birthday gift from his friend is a social transaction.

Dealing between entity and other person includes:

1. Dealing of entity (first party) with owner/s (Second party)
2. Dealing of entity (first party) with any person other than the owner/s (third parties).

Event (source of financial information) Event means anything that happens.

There are two types of events, Monetary and Non-Monetary events.

Monetary

Event It is an outcome of happening or occurrence of incident that can be measured in terms of money and can cause a change in financial position (financial status) of an entity. Examples include Loss by fire.

Non-Monetary

Event it is an outcome of happening or occurrence of incident that cannot be measured in terms of money and cannot cause a change in financial position (status) of an entity. Examples include Winning or losing a game that does not carry financial impacts.

Condition (source of financial information)

Condition is the third source of financial information. It requires certain adjustments to be made in already recorded transactions and events.

Money measurement

Money measurement is often misunderstood as receipt or payment of cash. Whereas, money measurement means to assign a value in reporting currency to the information, regardless the cash is still payable or receivable.

Financial position

Financial position is the current balances of the recorded assets, liabilities, and equity of an organization. This information is recorded in the balance sheet, which is one of the financial statements. The financial position of an organization is stated in the balance sheet as of the date noted in the header of the report.

Assets = liability + equity

Functions of financial accounting (Accounting cycle)

The procedures for analyzing, recording, classifying, summarizing, and reporting the transactions of a business. So, there are five functions of Financial Accounting.

Financial accounting is used to:

1. Classify,
2. Record,
3. Summarize,
4. Report, and
5. Analyze

Classifying

All types of financial information are classified into five main heads:

i) Assets
ii) Liabilities
iii) Incomes
iv) Expenses
v) Owners' Equity

Main Heads	Assets	Expenses	Owners' Equity	Liabilities	Incomes
Accounting Heads	Land	Purchases	Capital	Bank loan	Sales
	Building	Salaries	Drawings	Bank overdraft	ServiceFee
	Machinery	Electricity	Profits	Creditors	Commission
	Furniture	Repair	etc.	Payable	etc.
	Motor Van	Advertisement		etc.	
	Computer	Telephone			
	Stocks	Traveling			
	Receivables	Freight			
	Cash Balance	Rent			
	Bank Balance	Stationery			
	etc.	etc.			

Recording

Financial information is recorded in the books of accounts according to the prescribed rules.

Summarizing

Recorded financial information is summarized in another book of account. These summaries are prepared for each accounting head that are named as ledger accounts

Reporting

The results of summaries of each accounting head are reported to the users of financial information by preparing financial statements

Analyzing

Finally the facts reported are analyzed for certain decision making purposes

Elements of Financial Statements

All financial information of a business entity are divided into five main heads of accounts. These are also known as elements of financial statements, according to the conceptual framework of financial reporting by IFRS.

Assets:-

Assets are the properties and possessions of the business to pay in future. Can be amount payable for material purchased, expenses etc.

Properties and possessions can be of two types:

- Tangible Assets that have physical existence (are further divided into Fixed Assets and Current Assets)(Furniture, vehicle etc).
- Intangible Assets that have no physical existence (copyright, Good will etc).

Liabilities:-

Liabilities are the debts and obligations of the business. Liability is the obligation of the business to provide a benefit or asset on a future date.

Asset vs liability:-

Asset is a right to receive and liability is an obligation to pay, therefore, these are opposite to each other.

Income & Expenses:-

- Income/revenue is the value of goods and services that a business charges from its customers.
- Expenses are the costs incurred to earn the revenue.

Owners' Equity:-

Owners' equity is the source of finance that represents owners' stake in the entity. Equity is the residual interest in the assets of the entity after deducting all its liabilities.

Assets = Liabilities + Owner's equity

Capital Expenditure:-

It is the expenditure to create an asset that helps in generating future income and its life is more than 12 month. For example machinery purchases, furniture purchases etc.

Revenue Expenditure:-

It is the day to day expenses whose benefit is drawn immediately. For example, salary of the employee, rent of the building, etc

Entity

It is an activity that is undertaken by individuals or group of people for some purpose (profit or nonprofit).

Profit motive Business

It is an economic activity, which is undertaken to earn profits. It is initially financed by owners and all of its risks and rewards also belong to its owners.

Non profit motive Welfare Society

It is a welfare organization, which is undertaken by some volunteers and its motive is to help the other beings.

Separate Entity Concept

A business entity and its owner are two different persons. For accounting purposes, business has separate entity/identity apart from its owner.

Users of Financial Information

According to the Conceptual Framework for Financial Reporting, "The objective of financial statements is to provide information about the financial position, financial performance and changes in financial position of an entity that is useful to a wide range of users in making accounting decisions."

Investor/Shareholders/owners

Shareholders, or stockholders, are the owners of a company's outstanding shares, which represents a residual portion of the corporation's assets and earnings as well as a percentage of the company's voting power.

Trade contacts

Suppliers and customers are two main trade contacts. Suppliers want to know about the entity's ability to pay its debts against supplies on credit terms, customers need to know that the entity is a secured source of supply and is in no danger of having to close down.

Lenders

Providers of finance are lenders to entity might include a bank. The bank wants to ensure that the entity is able to keep up interest payments, and eventually to repay the amounts advanced.

Taxation authorities

Interested to know about profits in order to assess the tax payable by the entity, including sales taxes etc.

Manager and Employees

Need information about the entity's financial situation, because their future careers and the size of their wages and salaries depend on it.

Financial consultants and advisers

Need information for their clients or audience.

Government

Interested in the allocation of resources. They also require information in order to provide a basis for national statistics.

Public

Entity affects members of the public in a variety of ways.

Voucher:-

Voucher is documentary evidence in a specific format that records the details of a transaction.

General Journal:-

The Journal is used to record financial transactions in chronological (day to-day) order. All vouchers were first recorded in books of accounts. It was also called the Book of Original Entry or Day Book.

Ledger:-

It is a book that keeps separate record for each account (Book of Accounts).

BALANCE:-

The difference between the debit and the credit sides, known as the BALANCE.

Measurement of the elements of financial statements

Measurement involves assigning monetary amounts at which the elements of the financial statements are to be recognised and reported. The IFRS Framework acknowledges that a variety of measurement bases are used today to different degrees and in varying combinations in financial statements, including:

- Historical cost
- Current cost
- Fair Value (reallizable value / settlement value)
- Present value (discounted cash flows)

Fundamental qualitative characteristics

Relevance

Relevance refers to whether the information makes a difference to the decision maker in order to make predictions about the outcome of past, present and future events or to confirm and correct prior expectations, e.g., report of bank balance that is essential to determine how much to borrow.

Materiality (entity specific aspect of relevance)

Materiality is the basis for recognizing a transaction in the financial reporting process. It is the extent to which financial information is material. In other words, materiality is an entity-specific aspect of relevance based on the nature or magnitude, or both, of the items to which the information relates in the context of an individual entity's financial report.

Faithful representation

Faithful representation is the correspondence between accounting figures and descriptions and the resources or events that these figures and descriptions represent. Information must faithfully represent the effects of transactions and other events.

- Complete
  A complete depiction includes all information necessary for a user to understand the phenomenon being depicted, including all necessary descriptions and explanations.
- Neutral
  A neutral depiction is without bias in the selection or presentation of financial information, which does not mean information with no purpose or no influence on behavior.
- Free from error
  It means there are no errors or omissions in the description of the phenomenon, and the process used to produce the reported information has been selected and applied with no errors in the process.

Enhancing qualitative characteristics

The qualitative characteristics that enhance the usefulness of information that is relevant and faithfully represented are:

Comparability

It requires consistent accounting treatments of items in the financial statements of different entities at the same point of time so as to enable valid comparison.

Verifiability

It means that the measurement made by one measurer will be confirmed by another. It exists when there is a high degree of consensus among independent measurers; independent accountants using the same measurement process arrived substantially at same results. Verification can be:

- direct (verifying an amount or other representation through direct observation; (e.g., by counting cash);
- Indirect (checking the inputs to a model, formula or other technique and recalculating the outputs using the same methodology, (e.g., using FIFO method).

Timeliness

It is necessary to balance the relative merits of timely reporting, and the provision of reliable information. If reporting is delayed until all aspects are known, the information may be reliable, but of little use to those who have had to make decisions in the interim.

Understandability

Information should be presented in a way that is readily understandable by users who have a reasonable knowledge of business, economic activities and accounting and who are willing to study the information diligently.

Chapter – 2

Recording Financial Information Double Entry Bookkeeping System – Accounting Equation

Sources of financial information

As discussed earlier financial information means the information that can be measured in terms of money. There are three sources of financial information:

1. Transactions
2. Events
3. Conditions

We shall put special concentration to identify and analyze “transactions” for recording purposes in the books of accounts.

Types of transactions

There are two types of transactions:

- Cash Transactions

- Credit Transactions

Cash transaction

Cash transaction means the transaction in which cash/cheque is either paid or received at the same time while entering into the transaction.

Examples include:

1. Cash received from customers/debtors/accounts receivables.
2. Cash paid to supplier/creditors/accounts payables.
3. Staff salaries paid through cheques.
4. Service fee received in cash.
5. Any type of payments made by cash/cheques/standing order/direct debit/debit card/demand draft etc.
6. Any type of collections received in cash/cheques / credit transfer in the bank etc.

Credit transaction

Credit transaction means a transaction in which payment or receipt in terms of cash or any other financial instrument is deferred for some future period. Means payment will be made or collection will be received sometime in future.

Examples include:

1. 1.Sales of goods on credit by issuing sales invoice.
2. Purchase of goods on credit by receiving purchase invoice.
3. Return of goods from customers and issuing credit note.
4. Return of goods to suppliers and receiving credit note.

Debtors (Accounts Receivables) – ASSETS

Accounts receivable, or debtors, are recorded as an asset on the company balance sheet on the basis that they represent funds that will be paid to the company by customers in the normal course of business.

Creditors (Accounts Payable) – LIABILITIES

Accounts payable refers to money owed by a business to its vendors (creditors). Any vendor with an outstanding account balance is considered a creditor. These are vendors whom you expect to pay money to, and are treated as a current liability.

ACCOUNTING EQUATION

The accounting equation is a formula that shows the sum of a company's liabilities and shareholders' equity are equal to its total assets (Assets = Liabilities + Equity).

The clear-cut relationship between a company's liabilities, assets and equity are the backbone to double-entry bookkeeping.

These two heads constitute profit of the entity Incomes – Expenses = Profit Profit also contributes as a source of acquiring assets in the business.

Profits earned by the business are included in Owners' Equity, which are paid to the owners for personal use (known as drawings/dividends). Following equation makes this concept clear:

Owner's Equity = Capital + Profit (– loss) – Drawings

Chapter – 3

Rules of Debit and Credit Preparation of voucher with supporting documents

Concept of Debit and Credit – (Dr. and Cr.)

This means that entries of equal and opposite amounts are made to the Finance System for each transaction. As a matter of accounting convention, these equal and opposite entries are referred to as a debit (Dr) entry and a credit (Cr) entry.

1. Debit – Debere in Latin – denoted by Dr.
2. Credit – Credere in Latin – denoted by Cr.

For the purpose of developing rules for Dr. and Cr., elements of financial statements are further distinguished into two groups. This division is done based on their nature.

1. Debit Group
2. Credit Group

Debit Group consists of

1. Assets
2. Expenses

Credit Group consists of

1. Owner's Equity
2. Liabilities
3. Incomes

Types of Account

"Account" is a terminology that is used for an individual record of similar transactions in a summarized form, belonging to any of the five main heads i.e., asset, liability, income, expense and owner's equity. According to the modern approach of accounting, there are five types of accounts; asset, liability,

income, expense, owner's equity. Conventionally accounts were divided into three types; personal, real, nominal.

Personal Account

Accounts which are related to persons or institutions dealing with the entity, for example; debtors, creditors or banks.

Real account

Accounts which are related to properties or possessions related to the entity, for example; furniture, buildings, cash.

Nominal Account

Accounts which are related to expenses, income, losses and gains of the entity, for example; sales, purchases, salary, utility bills etc.

Analyzing "Debit and Credit"

Debit and credits are accounting entries used to monitor money going out of or coming into the business. Debit and credit form the backbone of the double-entry system, where every transaction comprises two parts for every debit transaction; there is a corresponding credit of an equal amount.

Increase (+) in the items of Debit group is brought in through "Dr"
Decrease (-) in the items of Debit group is brought in through "Cr"
Increase (+) in the items of Credit group is brought in through "Cr"
Decrease (-) in the items of Credit group is brought in through "Dr"

Increase in Assets & Expenses Dr.
Decrease in Assets & Expenses Cr.
Increase in Equity, Liabilities & Income Cr.
Decrease in Equity, Liabilities & Income Dr.

Main Heads	Assets	Expenses	Owners' Equity	Liabilities	Incomes
Accounting Heads	Land	Purchases	Capital	Bank Loan	Sales
	Building	Salaries	Drawings	Bank Overdraft	Interest
	Machinery	Electric Bill	Profits	Creditors	Commission
	Furniture	Repair	etc.	Accounts Payable	etc.
	Motor Van	Advertisement		etc.	
	Computer	Commission			
	Stocks	Traveling			
	Debtors	Freight			
	Cash Balance	Rent			
	Bank Balance	Stationery			
	etc.	etc.			

Important Accounting equations important quiz

(i) Σ Dr = Σ Cr
(ii) Resources = Sources
(iii) Assets = Owners' Equity + Liabilities
(iv) Owners' Equity = Capital + Profit – Loss – Drawings
(v) Profit/Loss = Incomes – Expense

Double Entry Accounting System

Double-entry bookkeeping is a method of recording transactions where for every business transaction, an entry is recorded in at least two accounts as a debit or credit. In a double-entry system, the amounts recorded as debits must be equal to the amounts recorded as credits.

Concept of Voucher and Supporting Documents

Voucher

Voucher is used to recognize two accounting heads along with their values. Voucher is an internal document that is prepared to witness that the transaction is complete and verified it is supported by needful documents and authorized by appropriate signatories.

Types of vouchers

- **Journal Vouchers**
  A written authorization prepared for each non-cash financial information, or for every transaction that meets defined requirements.
- **Petty Cash Receipt Voucher**
  A statement of spending from petty cash fund for which bill/invoice was not received. Petty cash fund is maintained to provide fast access to small amounts of cash for no routine expenses. Petty cash vouchers are used to maintain financial control of petty cash account, preventing abuse or mismanagement of the funds.
- **Cash Payment Voucher**
  A document, which is used as proof that a cash payment transaction has occurred between two parties. In business, a payment voucher can be used for a variety of purposes, sometimes taking the place of cash in a transaction, acting as a receipt, or indicating that an invoice has been approved for payment.
- **Bank Receipt & Payment Voucher**
  A bank receipt voucher contains detailed information about transactions involving bank deposits, collection from customers who make payments on account, credit card based sales and other similar types of transactions. Bank payment voucher is a document that is used as a proof of payments made through cheques, pay order, direct debits, standing instructions etc.
- **Gift Voucher**
  Gift voucher is used to give rights to the customers for buying goods for free or to avail discount as a special offer.

Source Documents

Sr. No.	Transaction	Source Documents
1	Sales	Invoice (issued) against sales of goods or services on account
2	Purchases	Invoice (received) against purchases of goods or services on account
3	Sales Return	Credit Note (issued) upon accepting the goods returned by customer
4	Purchases Return	Debit Note (issued) / Credit Note (received) upon returning goods to supplier
5	Cash received	Cash Memo/receipt (issued) upon receiving cash
6	Cash paid	Cash Memo/receipt (received) upon making cash payment
7	Leases (Rental etc.)	Agreements signed by the parties to a lease or any other contract
8	Staff Salaries	Payrolls sheet upon transferring salaries and wages to the staff
9	Utility Bills	Metered Bills/Invoices against obtaining economic benefits of the utilities

Invoice

An invoice is a document that is prepared by seller and sent to the buyer, it specifies description and amount of products or services provided by the seller.

Sample invoice

A sample invoice is a PDF Template that is generally used by sellers to send an itemized list of the goods or services provided to the buyer. In some cases, it may also include a summary of monetary transactions, the payment terms, the date, and the client name.

Credit Note

Credit note is a document that is prepared by a seller and sent to the buyer to correct mistake in the original invoice or to reduce the balance due on the buyer for any other reason including the return of goods by buyer to seller.

Recording in the books of accounts Approved vouchers are recorded in the books of original entries (journals and cashbook), such recorded information is known as “accounting entry”. These accounting entries are then posted into the books of secondary entries (ledgers). Mostly integrated computer software is used for recording and posting transactions. However, an understanding of books of accounts is necessary either transaction are recorded manually or electronically.

There are two types of books of accounts that are used to keep records of financial information of a business entity:

1. Books of original entries.
2. Books of secondary entries.

Systems of Accounting/Reporting

There are two accounting systems being practiced:

- Cash Based Accounting/Reporting System It is a system in which transactions are recorded only when cash is received or paid. The system which reports income when received and expenses when paid.
- Accrual Based Accounting/Reporting System It is a system in which transactions are recorded on the basis of amount becoming due for payment or receipt, regardless the condition that settlement in terms of cash has happened or not. The only point of concern is, whether the expense or income belongs to the reporting period. If that belongs to the reporting period then payment or collection in terms of cash becomes irrelevant.

Single Entry Bookkeeping Approach

Single entry bookkeeping is a simplest form of bookkeeping in which single effect of each financial information is entered in the books of accounts.

Single Entry Bookkeeping -Vs- Double Entry Bookkeeping

The single entry bookkeeping approach contrasts with double entry bookkeeping approach. Each financial information brings at least two equal and offsetting entries in the double entry bookkeeping approach. One is debit (Dr) and the other one is credit (Cr).

As a result:

- Entities using the double entry approach report financial results with an accrual accounting/reporting system.
- Entities using single entry approach are effectively limited to reporting on a cash basis only.

Adequacy of single entry accounting system

Single entry accounting can be adequate for a small business practicing cash based accounting. Small firms may in fact prefer single entry accounting over a double-entry system when all or most of the following conditions apply:

- Entity uses cash based accounting, not accrual accounting.
- There are few financial transactions per day.
- Entity does not sell on its own credit. Customers must pay at the time of the sale either in cash or, by bank transfer, 3rd-party debit card, 3rd-party credit card, or by writing a cheque. The entity does not deliver goods or services and then invoice customers for payment later.
- There are very few employees.
- Entity is privately held or operates as a sole proprietorship or partnership. As a result, the firm does not publish an income statement, balance sheet, or other financial statements that are mandatory for public companies.

Chapter – 4

Journalizing – Books of Original Entries

Journal / Book of Primary Entry / Book of Original Entry

Journal is the first book in accounting cycle, which is used primarily to record all financial information of the entity. Since the journal is first book of account, therefore, it is also known as book of primary entry or book of original entry.

Information recorded by following such rules and in a proper format of journal is known as journal entry or accounting entry. Simply it can also be named as entry. Just like parts of speech in English language, there are six parts of entry in accounting language;

1) Date,
2) Particulars,
3) Post reference,
4) Debit amount
5) Credit amount, and
6) Narration.

Recapitulation – Analyzing Dr & Cr

Main Heads	Nature	Increase	Decrease
Assets	Dr	Dr	Cr
Expenses	Dr	Dr	Cr
Owners' Equity	Cr	Cr	Dr
Liabilities	Cr	Cr	Dr
Incomes	Cr	Cr	Dr

Format of Journal & Journal Entry

Journal

An accounting record in which transactions are first entered; provides a chronological record of all business activities.

Journal entry

A recording of a transaction where debits equal credits; usually includes a date and an explanation of the transaction.

There are four columns in the journal. The first column is for the date, because journal entries are chronologically recorded. The second is for the name of accounts that the transaction concerns. The third column is for the debit (added) value, and the fourth column is for the credit (deducted) value.

Compound Accounting Entry

A business makes multiple transactions in a day in which same accounting head is involved. The single journal entry, which combines multiple journal entries in which same accounting head is repeating, is known as compound entry.

Complex Accounting Entries

Accounting entries for "Discounts". Types of discounts a trader often allows its customers two types of discounts

- Trade discount
- Settlement discount

Trade Discount

It is the discount offered by a seller to its customers before entering into transaction with them. Trade discount is always offered based on some policy.

Examples include:

1. Bulk purchase discounts.
2. Regular customer discounts.
3. Season end discounts.

Settlement Discount

It is the discount offered by a seller to its customers based on cash settlement terms for early payment of the invoice.

Understanding the concept of settlement terms through invoice

Invoice is a document that is issued by a seller to its customer at the time of sales. An invoice states trade discount as a deduction from the list price and also states settlement terms for calculation of settlement discount in future.

Subdivision of Journal

Journal is sub-divided because of complexity of the transactions or large size of business. Subdivision of journal is required when:

1. There are increased numbers of cash transactions in a day.
2. There are large number of transactions for credit purchases and credit sales

SALES JOURNAL

A special journal in which credit sales are recorded

Need for Sales Journal

The sales journal is used to record receivables, such as credit sales for goods and/or services. Cash transactions are recorded in a receipts journal used to record transactions paid in cash. The sales journal is a sub-journal used to record detailed sales transactions from the general ledger.

Recording transactions in Sales Journal

In case of credit sales, the business is always interested in the names and addresses of its credit customers (Debtors); therefore, sales journal is designed accordingly in order to cover following information:

- Date---------- Date of invoice
- Name of Debtor ------- Mentioned in the invoice
- Invoice number ------- It helps to trace the other details of invoice
- Post reference --------- Page number of subsidiary ledger
- Amount of invoice ---- Net of trade discount

PURCHASE JOURNAL

A purchases journal is a subsidiary-level journal in which is stored information about purchasing transactions. This journal is most commonly found in a manual accounting system, where it is necessary to keep high-volume purchasing transactions from overwhelming the general ledger.

Recording transactions in Purchase Journal

The basic content of a purchase journal is exactly the same as in the case of a sales journal with the exception of Name of Creditors instead of Debtors

Format of Purchases Journal

Date	Name of Creditors	Invoice No.	Post. Ref.	Amount Rs

SALES RETURN JOURNAL (RETURN INWARDS JOURNAL)

A sales return day book is used to records goods returned by credit customers. It is prepared from credit note issued to customers. It is also known as sales return journal/return inwards day book or return inwards journal.

Date	Name of Debtors	Credit Note No.	Post Ref.	Amount Rs.
Feb. 1	Madinah Stores			200
Feb. 9	John Smith			100
Feb. 10	Giant Store			300
Feb. 11	Falcons			400
Feb. 16	Pearl Traders			50
Feb. 19	Nelson			150
Feb. 23	Mega Mart			500
Feb. 28	Giant Store			600
	Total			**2,300**

The total of sales return journal is debited to the Return inwards (Sales return) account in the general ledger. Individual entries in the sales return day book is credited to respective customer's account in the sales ledger.

PURCHASES RETURN JOURNAL (RETURN OUTWARDS JOURNAL)

A purchase returns journal (also known as returns outwards journal/purchase debits daybook) is a prime entry book or a daybook which is used to record purchase returns. In other words, it is the journal which is used to record the goods which are returned to the suppliers.

Purchase returns journal =Goods purchased on credit - returned to suppliers

CASH BOOK

A cash book is a financial newspaper which includes all cash receipts and disbursements, including bank deposits and withdrawals. After that, entries in the cash book are added to the general ledger.

Types of Cash Book

1. Single column cash-book (with cash column only)
2. Two column cash-book (with cash and bank columns) OR (with cash and discount columns) OR (with bank and discount columns)
3. Three column cash-book (with cash, bank and discount columns)
4. Petty cash book (multi columnar cash book for recording insignificant nature of expenses)

Cash Book (Single Column)

Date	RECEIPTS Particulars	Post Ref.	Amount Rs.	Date	PAYMENTS Particulars	Post Ref.	Amount Rs.

Cash Book (Two Columns)

Date	RECEIPTS Particulars	P/R	Cash Rs.	Bank Rs.	Date	PAYMENTS Particulars	P/R	Cash Rs.	Bank Rs.

Cash Book (Three Columns)

Date	RECEIPTS Particulars	Discount allowed	Cash Rs.	Bank Rs.	Date	PAYMENTS Particulars	Discount Received	Cash Rs.	Bank Rs.

Petty Cash Book

Date	Receipts Rs.	Particulars	Total Payments Rs.	Enter-tainment Rs.	Photo copy Rs.	Repair Rs.	Travelling Rs.	Postage Rs.	Misc. Rs.

Petty Cash Book

Transactions that are recorded in petty cash book are insignificant (petty) in nature and amount for which substantial documentation is not required. For example; photocopy, entertainment, postage, local travelling, cleaning material, etc.

Accountants do separately recognize cash at bank, cash in hand and petty cash that can be distinguish as:

1. Main Cash (for significant receipts and payments)
2. Petty Cash (for insignificant payments)

Maintaining petty cash

Here are the three different systems that are used to maintain petty cash in organizations. The systems are:

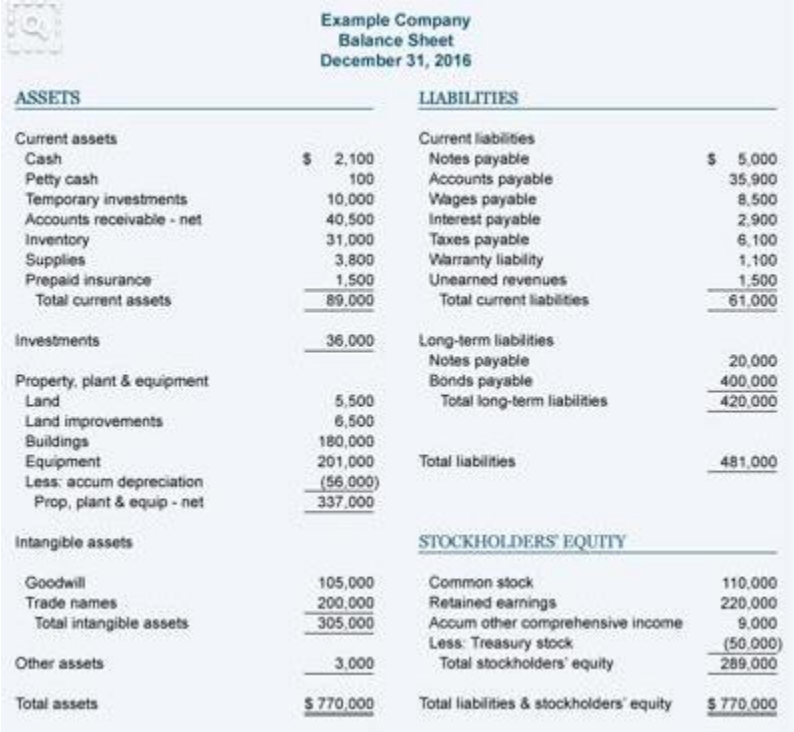
1. **Open system/ordinary system**
   the petty cashier is given a lump sum for expenses in this system. After spending the money, the cashier submits the accounts with receipts to the main cashier for approval.
2. **Fixed system**
   in the fixed petty cash system, the chief cashier offers a fixed amount of money for a specified period to the petty cash cashier. After exhausting the amount, the petty cash cashier will submit the account for the money and will be given money for the next period.
3. **Imprest system**
   the imprest system is the most commonly followed system for maintaining petty cash. Under the imprest system, the total amount of money for petty expenses for a specific period is calculated and given in advance to the cashier. After spending the imprest cash, the cashier will submit a detailed account at the end of the period and will receive the advance for the next period. Also, the cash he receives is called the imprest cash.

Chapter – 5

Main Ledger / General Ledger / Nominal Ledger (Book of secondary entries) and Trial Balance

MAIN LEDGER / GENERAL LEDGER / NOMINAL LEDGER

A journal in itself is a chronological record of all the financial information (economic phenomena) but this doesn't reflect the information that is required for preparation of reports. In order to generate reports, for example; Balance Sheet, we need balance (total amount) of Assets, Liabilities, and Owners' Equity.



Example Company
Balance Sheet
December 31, 2016

ASSETS		LIABILITIES	
Current assets		Current liabilities	
Cash	$ 2,100	Notes payable	$ 5,000
Petty cash	100	Accounts payable	35,900
Temporary investments	10,000	Wages payable	8,500
Accounts receivable - net	40,500	Interest payable	2,900
Inventory	31,000	Taxes payable	6,100
Supplies	3,800	Warranty liability	1,100
Prepaid insurance	1,500	Unearned revenues	1,500
Total current assets	89,000	Total current liabilities	61,000
Investments	36,000	Long-term liabilities	
		Notes payable	20,000
Property, plant & equipment		Bonds payable	400,000
Land	5,500	Total long-term liabilities	420,000
Land improvements	6,500		
Buildings	180,000		
Equipment	201,000	Total liabilities	481,000
Less: accum depreciation	(56,000)		
Prop, plant & equip - net	337,000		
Intangible assets		STOCKHOLDERS' EQUITY	
Goodwill	105,000	Common stock	110,000
Trade names	200,000	Retained earnings	220,000
Total intangible assets	305,000	Accum other comprehensive income	9,000
		Less: Treasury stock	(50,000)
Other assets	3,000	Total stockholders' equity	289,000
Total assets	$ 770,000	Total liabilities & stockholders' equity	$ 770,000

Chart of accounts

Chart of accounts is a list of the names of accounts that business accountant identifies from the journal and prepares for recording transactions in its general ledger. A company has the flexibility to tailor its chart of accounts to best suit to its needs, including adding accounts as needed.

Preparation of Chart of Accounts

There are number of accounting heads recognized as debit (Dr) and credit (Cr) in journal. In order to prepare a summary of all these accounting heads, the first step is to extract a list of all

the accounting heads existing in a journal. Such list of accounting heads is known as chart of accounts.

Format of ledger accounts

A ledger account, in its simplest form, has three parts

1. First, each account has a title, which is the name of accounting head.
2. Second, each account has a debit side, which is its left-hand side.
3. Third, each account has a credit side, which is its right-hand side.

The account format presented below is called T account because it resembles the letter T of English language alphabets.

Posting from General Journal

The process of picking up amount from journal and placing into the debit or credit side of relevant ledger account in ledger is known as posting.

To keep your records accurate, you should post to the general ledger as you make transactions. At the end of each period (e.g., month), transfer journal entries into your ledger.

Ledger entries are separated into different accounts. The accounts, called T-accounts, organize your debits and credits for each account. There is a T-account for each category in your accounting journal.

Here's an example of what your general ledger account may look like after posting journal entries:

Date	Description	Debit	Credit
XX/XX/XXXX	Deposit	2,000	
XX/XX/XXXX	Rent		1,500
XX/XX/XXXX	Deposit	1,000	
XX/XX/XXXX	Deposit	3,000	
	Inventory		1,000
Subtotal		6,000	2,500
Total		3,500	

Post Reference

In the post reference column of journal, the page number of the ledger is written in which its effect was posted. In the same way, as a cross reference in the post reference column of a ledger account, the page number of journal is written from which this entry was posted in the ledger.

In journal the post reference column is also named as 'ledger folio (LF)' and in ledger the post reference column is also named as 'journal folio (JF)'.

Balancing the ledger accounts

Ledger accounts are used to summarize all financial information about one accounting head in one place and these are also prepared to extract the final balance of that summary/account.

Identifying the Balance

A balancing figure appearing in the credit side of a ledger account is known as a Debit Balance and a balancing figure appearing in the debit side of a ledger account is known as Credit Balance.

Mechanism of Balancing Ledger Account

The accounting head, which is required to be balanced should be linked with its group's nature, that will be either Dr/Cr, the side of its group's nature is its 'natural side' and it would always produce greater sum, the sum of other side (means the lower side) is then subtracted from the sum of natural side to ascertain balancing.

Contra Accounts

A contra account is an account used in a general ledger to reduce the value of a related account. They are useful to preserve the historical value in a main account while presenting a decrease or write-down in a separate contra account that net to the current book value.

Trial Balance

Trial balance is merely a list of balances extracted from the ledger containing final balance of each ledger account. In a trial balance; all accounting heads having debit balances are plotted at the left-hand side (Dr-side) and likewise all accounting heads having credit balances are plotted at the right-hand side (Cr-side).

Posting from sub-divided journals

Journals are sub-divided when a business enters into number of credit transactions relating to purchases & sales and also when a separate cash book is required to record large number of cash transactions. The mechanism of posting process from subdivided journals into the relevant ledger accounts is somewhat different from the posting process discussed earlier (i.e. from general journal into ledger).

CHAPTER – 6

Preparation of Financial Statements

Components of financial statements

Financial statements are reports on companies' spending and fiscal positions. These statements can be audited by the government to prevent tax fraud and other illegal activities. Financial analysts use these statements to analyze a company's performance, and then use that information to make predictions about its stock price and future success.

Financial statements can be divided into four categories: balance sheets, income statements, cash flow statements, and equity statements.

Balance Sheet

Balance Sheets detail a company's assets, liabilities, and net worth for a specific date. These sheets are typically created at the end of the fiscal year. The assets are listed in order of liquidity, while the liabilities are listed in the order that they need to be paid.

Income Statement

Income statements cover either a year (annual financial statements) or a quarter (quarterly financial statements), and describe how a company arrived at their net income over that period. The details of these statements include revenues, expenses, and earnings per share, and usually includes past data to compare with.

Cash Flow Statement

A cash flow statement describes a company's inflows and outflows of money over a period of time. These flows of money come from three main activities: operating, investing, and financing. Analysts use cash flow statements to find dividends paid and the dollar value of repurchased shares.

Equity Statement

Equity statements describe how the equity of a company changes over time. This change is affected by net profit or loss, individual gains or losses, shares bought and sold, and dividend payments.

1. Profit= incomes – Expenses
2. Assets = Owners equity + Liabilities

CHAPTER - 7

BANK RECONCILIATION STATEMENT (BRS)

Basic concept of Bank Reconciliation

A bank reconciliation statement is a document that compares the cash balance on a company's balance sheet to the corresponding amount on its bank statement. Reconciling the two accounts helps identify whether accounting changes are needed. Bank reconciliations are completed at regular intervals to ensure that the company's cash records are correct.

Bank Reconciliation Procedure

1. On the bank statement, compare the company's list of issued checks and deposits to the checks shown on the statement to identify uncleared checks and deposits in transit.
2. Using the cash balance shown on the bank statement, add back any deposits in transit.
3. Deduct any outstanding checks.
4. This will provide the adjusted bank cash balance.
5. Next, use the company's ending cash balance, add any interest earned and notes receivable amount.
6. Deduct any bank service fees, penalties, and NSF checks. This will arrive at the adjusted company cash balance.
7. After reconciliation, the adjusted bank balance should match with the company's ending adjusted cash balance.

Nature and Behaviour of Balances

Balances, also known as weighing scales, are devices used to measure the mass or weight of an object. They are commonly used in various industries, laboratories, and households. The nature and behavior of balances can be described in several aspects:

- **Precision:**
  Balances are designed to provide precise measurements. They can measure weight with high accuracy, often up to several decimal places. The level of precision depends on the quality and sensitivity of the balance. Precision balances are commonly used in scientific research, pharmaceutical laboratories, and jewelry industries where accuracy is crucial.

- **Sensitivity:**
  Balances have different sensitivity levels, which determine their ability to detect small changes in weight. High-sensitivity balances can measure even the slightest weight differences, while less sensitive balances are suitable for general weighing purposes. The sensitivity of a balance is influenced by its design, calibration, and the load cell or mechanism used to measure weight.

- **Calibration:**
  Balances need regular calibration to ensure accurate measurements. Calibration involves comparing the output of the balance to known reference weights. If any deviation is detected, adjustments are made to bring the balance back to its accurate state. Calibration can be performed by trained technicians or using external calibration weights.

- **Environmental Factors:**
  Balances are sensitive to environmental conditions that can affect their performance. Factors such as temperature, humidity, air currents, and vibrations can impact the accuracy of measurements. Some balances come with built-in features to minimize the influence of environmental factors, such as draft shields to reduce air currents or environmental enclosures for protection against temperature and humidity fluctuations.

- **Zeroing and Taring:**
  Balances typically have a "zero" or "tare" function that allows the user to reset the scale to zero before weighing an object. This feature compensates for the weight of containers or vessels used to hold the sample, ensuring that only the weight of the material being measured is considered.

- **Overload Protection:**
  Balances have a maximum weight capacity, and exceeding this limit can damage the scale or affect its accuracy. To prevent overloading, most balances have built-in overload protection mechanisms. These mechanisms can include audible alarms, visual warnings, or automatic shutoff to safeguard the balance and ensure accurate measurements.

- **User Handling:**
  Proper handling of balances is essential for accurate and reliable measurements. Users should avoid placing excessive force or impact on the balance, as it can damage the internal components and affect its performance. It is also important to handle weights and samples with care to prevent contamination or damage to the weighing surface.

Possible reasons of difference among the two balances

Possible reasons of difference among the “balance as per cash book” and “balance as per bank statement” can be subdivided into two:

1. Adjusting items
2. Reconciling items

Adjusting Items:

In various contexts, "adjusting items" refers to specific entries or transactions made to rectify discrepancies or errors in financial records. These adjustments are typically made during the preparation of financial statements to ensure the accuracy and completeness of the reported information.

Reconciling Items:

"Reconciling items" refer to discrepancies or differences between two sets of financial records or accounts that need to be resolved or explained. Reconciliation involves comparing and matching corresponding figures in different records to ensure consistency and accuracy.

Chapter – 8

ACCRUAL ACCOUNTING

Cash and Accrual Basis of Accounting

Cash Basis of Accounting:

- The cash basis of accounting is a method of recording financial transactions based on the actual cash inflows and outflows. Under the cash basis, revenues are recognized when cash is received, and expenses are recognized when cash is paid. It focuses on the actual movement of cash rather than the timing of the related economic activities.
- In cash basis accounting, transactions are recorded only when cash is exchanged. This means that revenue is recognized when cash is received, regardless of when the goods or services were provided. Similarly, expenses are recognized when cash is paid, regardless of when the goods or services were received.
- Cash basis accounting is commonly used by small businesses, sole proprietors, and individuals who have relatively straightforward financial transactions. It is straightforward and easy to understand, as it aligns with the actual movement of cash. However, it may not provide an accurate representation of the financial performance and position of an entity, especially for businesses with significant credit transactions or long-term projects.

Accrual Basis of Accounting:

- The accrual basis of accounting is a method that recognizes revenues and expenses when they are earned or incurred, regardless of the timing of cash inflows or outflows. It focuses on matching revenues with the expenses incurred to generate those revenues, providing a more accurate depiction of an entity's financial performance and position.
- Under the accrual basis, revenue is recognized when it is earned, typically when goods are delivered or services are performed, regardless of when the payment is received.

Similarly, expenses are recognized when they are incurred, irrespective of when the actual cash outflow occurs.

- Accrual basis accounting provides a more comprehensive and accurate view of a business's financial affairs. It enables the matching of revenues and expenses in the same accounting period, allowing for a more realistic determination of profitability and financial health. It is widely used by larger businesses, corporations, and organizations that have complex financial transactions and significant credit sales.

Adjusting Entries

Adjusting entries are passed on reporting (closing) date, in order to complete the Income/Expense account with respect to the accruals and prepayments.

- **For Opening Expense Due**
  Dr Expense payable A/c. Cr Expense (accounting head)

- **For Closing Expense Due**
  Dr Expense (accounting head) Cr Expense payable a/c

- **For Opening Advance Payment**
  Dr Expense (accounting head) Cr Advance payment a/c

- **For Closing Advance payment**
  Dr Advance payment A/c. Cr Expense (accounting head)

- **For Opening Income Due**
  Dr Income (accounting head) Cr Income receivable a/c

- **For Closing Income Due**
  Dr Income receivable a/c Cr Income (accounting head)

- **For Opening Advance Receipt**
  Dr Unearned income a/c Cr Income (accounting head)

- **For Closing Advance Receipt**
  Dr Income (accounting head) Cr Unearned Income A/c

Closing Entries

Closing entries are passed on reporting (closing) date, in order to close final balance of Income/Expense account into the Income Statement for the reporting period to which they relate.

- For expenses
  Dr Income Statement Cr Expense (accounting head)
- For incomes
  Dr Income (accounting head) Cr Income Statement

CHAPTER – 9

PROVISION FOR DOUBTFUL DEBTS AND ALLOWABLE DISCOUNTS

Basic concept of Bad and Doubtful Debts

Bad Debts

are the accounts receivables (Debtors) that an entity will never be able to collect e.g. the customer has gone out of business. These are also known as irrecoverable debts.

Doubtful Debts

are the accounts receivables (Debtors) where there is a high risk that it will not be recovered. Accounting effects for "bad debts" and "doubtful debts" are different, although both are recognized as expense in the income statement but credit effect is different.

Accounting Entries

An accounting journal entry is the method used to enter an accounting transaction into the accounting records of a business. The accounting records are aggregated into the general ledger or the journal entries may be recorded in a variety of sub-ledgers, which are later rolled up into the general ledger. This information is then used to construct financial statements as of the end of a reporting period.

Measurement of Doubtful Debts

The measurement of doubtful debts, also known as the provision for bad debts or allowance for doubtful accounts, is an accounting process used to estimate and account for potential losses from customers or debtors who are unlikely to pay their outstanding debts. It involves recognizing an expense in the financial statements to reflect the possibility of non-payment.